ACCOUNTING & COMPLIANCE PRACTICE PROJECT

(GST, TDS, Bank Reconciliation & Payroll)

April 2026 — Practice & Simulation Project

Case Company: Nexus Tech Distribution Pvt. Ltd.

Prepared by

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Self-Directed Practice Project

ACKNOWLEDGEMENT

This is a self-directed project, which I planned and completed on my own to build practical skills in accounting and data analysis.

I am grateful to my family and friends for their constant support and motivation while I worked on it. I also thank the free learning resources, tutorials and practice material on Tally Prime, GST, TDS and MS Excel that helped me understand how these concepts work in real business situations.

Working on this project has helped me apply my classroom knowledge of accounting, taxation and spreadsheets to a practical business case, and has strengthened my preparation for a career in accounting and analytics.

Afifah Khatoon

PROJECT OVERVIEW

This project simulates an accounting and compliance practice workflow for a fictional trading company, Nexus Tech Distribution Pvt. Ltd., using Tally Prime and MS Excel.

It covers the full process followed in a company's accounts department: setting up the company and ledgers, recording sales, purchase, payment and receipt vouchers, GST compliance, TDS deduction, bank reconciliation, payroll processing, and preparing final financial statements (Trial Balance, Profit & Loss Account and Balance Sheet).

The project shows how Tally Prime handles accounting entries while Excel is used for reconciliation, analysis and reporting.

SCOPE OF THE PROJECT

The project covers the following areas:

1. **Accounting Setup & Entry:** company creation, chart of accounts, party ledgers with GSTIN and PAN, and voucher entries.
2. **GST Compliance:** GST rates and HSN/SAC codes, GSTR-2B vs. books ITC reconciliation, and GSTR-3B tax liability working.
3. **Bank Reconciliation & Working Capital Analysis:** Bank Reconciliation Statement (BRS) and receivables/payables ageing analysis (0-30, 31-60, 60+ days).
4. **Payroll & TDS:** monthly payroll for 8 employees (PF, ESI, LOP), TDS on salary (Section 392 of the Income-tax Act, 2025, erstwhile 192) and a practice TDS entry on rent (Section 393, erstwhile 194-I).
5. **Final Reporting:** Trial Balance, P&L Account, Balance Sheet and a financial MIS dashboard.

The project is for learning and practice. All data is dummy data and is not connected to any real business.

PROJECT OBJECTIVES

1. To gain practical experience in maintaining books of accounts using Tally Prime.
2. To understand and apply GST provisions, including Input Tax Credit reconciliation.
3. To learn TDS deduction and its accounting treatment.
4. To prepare a Bank Reconciliation Statement and identify differences between the cash book and the bank statement.
5. To analyse outstanding receivables and payables through ageing analysis.
6. To compute employee payroll and statutory deductions.
7. To prepare and verify final financial statements and present them in a summarised MIS format.
8. To build job-ready skills for roles such as Accountant, Tally Operator, MIS Executive and Data Analyst.

TOOLS & KNOWLEDGE USED

Software Tools

- **Tally Prime:** company creation, ledgers, vouchers, GST and TDS features, banking module, financial reports
- **MS Excel:** INDEX/MATCH, SUMIFS, conditional formatting, formulas, charts, dashboards

Knowledge Areas

- Financial Accounting (double-entry system, Trial Balance, final accounts)
- GST (CGST, SGST, IGST, ITC, GSTR-1, GSTR-2B, GSTR-3B)
- TDS (Section 392 on salary, erstwhile 192; Section 393 on rent, erstwhile 194-I)
- Bank Reconciliation (BRS)
- Payroll (Basic, HRA, PF, ESI, LOP, Net Salary)
- Ageing Analysis and MIS Reporting

PROJECT WORKFLOW

Step 1: Company Setup & Master Configuration (Tally Prime)
Created Nexus Tech Distribution Pvt. Ltd., enabled GST and TDS, and created party, tax, income and expense ledgers.

Step 2: Core Voucher Operations (Tally Prime)
Recorded sales and purchase invoices with GST, a rent expense with a practice TDS deduction (Section 393, erstwhile 194-I), and bank receipts and payments. The purchase register used in Excel contains the 2 Tally purchase invoices.

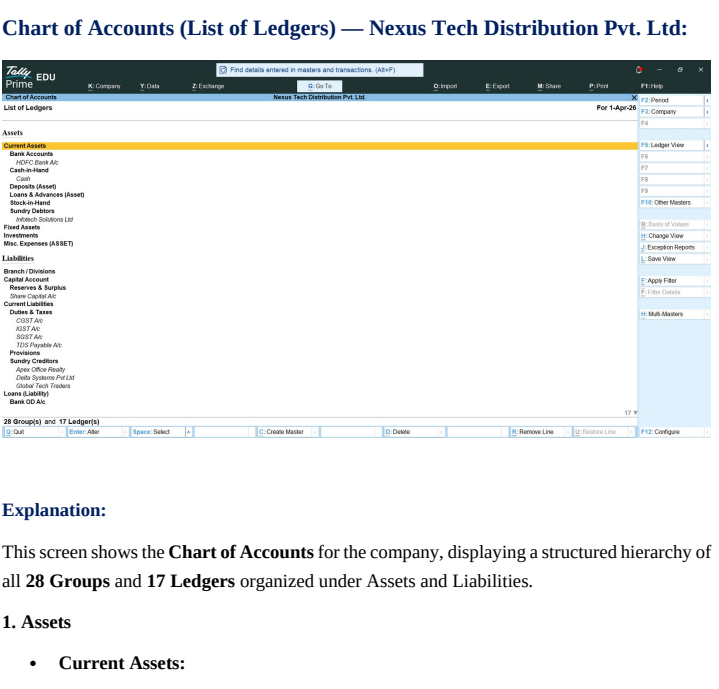
Step 3: GSTR-2B vs. Books ITC Reconciliation (Excel)
Matched the Purchase Register with GSTR-2B using INDEX/MATCH formulas, which classifies each invoice (Matched, Tax Mismatch, Missing in 2B, Missing in Books); both invoices matched. Prepared the GSTR-3B working.

Step 4: Bank Reconciliation & Ageing Analysis (Excel + Tally)
Compared the bank statement with the Tally bank ledger in Excel to prepare the Bank Reconciliation Statement, and built the receivables and payables ageing schedule using SUMIFS formulas (with a guide to build the same result as a PivotTable).

Step 5: Payroll & TDS Practice (Excel + Tally)
Prepared the payroll sheet with PF, ESI, LOP and TDS, and prepared the payroll journal entry for Tally Prime. The payroll journal was not posted in Tally. The rent TDS payment voucher was recorded in Tally as a practice entry.

Step 6: Final Reporting (Tally + Excel)
Generated Trial Balance, P&L and Balance Sheet, and prepared a summary dashboard of revenue, margins and working capital.

Chart of Accounts (List of Ledgers) — Nexus Tech Distribution Pvt. Ltd:



Explanation:

This screen shows the **Chart of Accounts** for the company, displaying a structured hierarchy of all **28 Groups** and **17 Ledgers** organized under Assets and Liabilities.

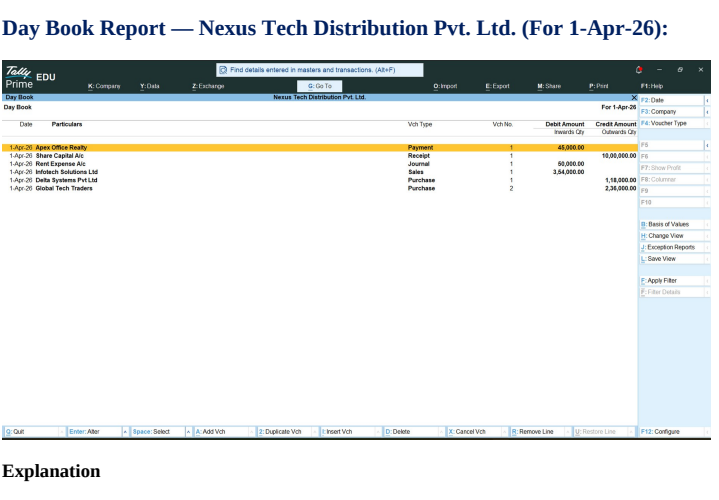
1. Assets

- **Current Assets:**
  - **Bank Accounts:** HDFC Bank A/c (Holds liquid cash for business transactions).
  - **Cash-in-Hand:** Cash (Default Tally cash account).
  - **Sundry Debtors:** Infotech Solutions Ltd (Customer from whom receivables are expected for local sales).
- **Other Asset Groups:** Fixed Assets, Investments, Stock-in-Hand, Deposits, and Loans & Advances (no balances yet).

2. Liabilities

- **Capital Account:**
  - Share Capital A/c (Initial capital brought into the business).
- **Current Liabilities:**
  - **Duties & Taxes:** CGST A/c, IGST A/c, SGST A/c, and TDS Payable A/c (Tax accounts tracking output/input GST and statutory TDS liabilities).
  - **Sundry Creditors:** Apex Office Realty (Vendor), Delta Systems Pvt Ltd (Supplier), and Global Tech Traders (Inter-state Supplier).
- **Loans (Liability):** Includes Bank OD A/c for overdraft facilities.

Day Book Report — Nexus Tech Distribution Pvt. Ltd. (For 1-Apr-26):

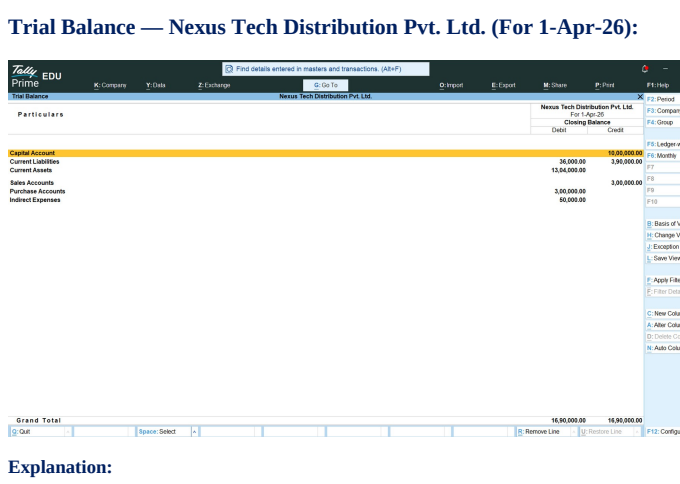


Explanation

This screen shows the **Day Book**, which lists all **6 financial transactions** recorded for the business on April 1, 2026.

- **1. Apex Office Realty (Payment Voucher No. 1):** Rent payment of **₹45,000.00** made to Apex Office Realty via HDFC Bank after deducting TDS of ₹5,000, which is deposited through the same voucher (total bank outflow ₹50,000).
- **2. Share Capital A/c (Receipt Voucher No. 1):** Initial capital contribution of **₹10,00,000.00** received into the bank account.
- **3. Rent Expense A/c (Journal Voucher No. 1):** Rent provision booking of **₹50,000.00** (including TDS liability deduction of ₹5,000).
- **4. Infotech Solutions Ltd (Sales Voucher No. 1):** Local sales invoice generated for **₹3,54,000.00** (₹3,00,000 taxable sales + ₹27,000 CGST + ₹27,000 SGST).
- **5. Delta Systems Pvt Ltd (Purchase Voucher No. 1):** Local goods purchase invoice of **₹1,18,000.00** (₹1,00,000 taxable purchase + ₹9,000 CGST + ₹9,000 SGST).
- **6. Global Tech Traders (Purchase Voucher No. 2):** Inter-state goods purchase invoice of **₹2,36,000.00** (₹2,00,000 taxable purchase + ₹36,000 IGST).

Trial Balance — Nexus Tech Distribution Pvt. Ltd. (For 1-Apr-26):

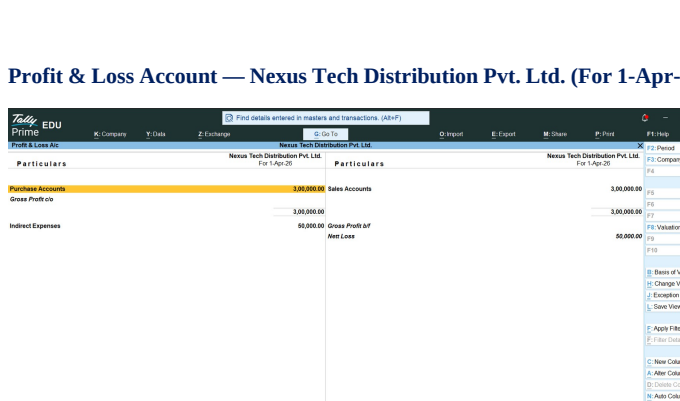


Explanation:

This screen displays the **Trial Balance Summary**, verifying that all ledger accounts are mathematically balanced across debit and credit columns.

- **Capital Account (Credit: ₹10,00,000.00):** Represents the promoter's initial equity capital invested in the business.
- **Current Liabilities (Debit: ₹36,000.00 | Credit: ₹3,90,000.00):** The credit of ₹3,90,000 comprises vendor payables of ₹3,54,000 (Delta Systems, Global Tech Traders) and net CGST and SGST payable of ₹18,000 each. The debit of ₹36,000 is the net input IGST balance.
- **Current Assets (Debit: ₹13,04,000.00):** Assets consisting of the HDFC Bank balance (₹9,50,000) and customer receivables from Infotech Solutions Ltd (₹3,54,000).
- **Sales Accounts (Credit: ₹3,00,000.00):** Total revenue generated from local trading sales.
- **Purchase Accounts (Debit: ₹3,00,000.00):** Total cost incurred for inventory procurement (local and inter-state purchases combined).
- **Indirect Expenses (Debit: ₹50,000.00):** Operating overhead incurred for office rent expense.
- **Grand Total (Debit: ₹16,90,000.00 | Credit: ₹16,90,000.00):** Both debit and credit columns balance perfectly, confirming double-entry accounting integrity across all recorded vouchers.

Profit & Loss Account — Nexus Tech Distribution Pvt. Ltd. (For 1-Apr-26):

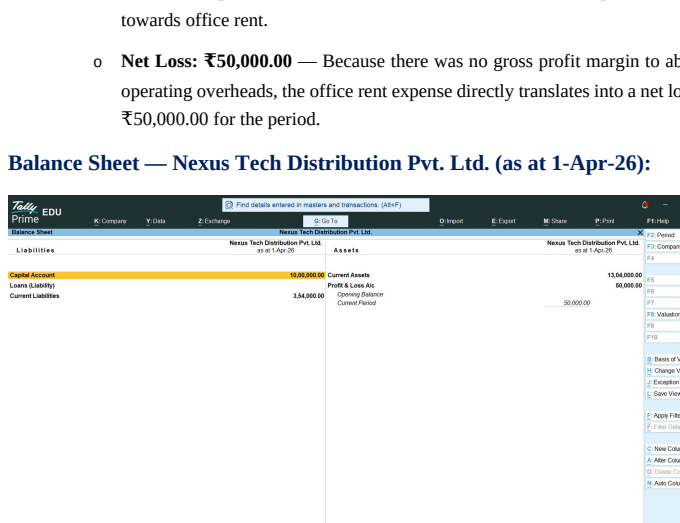


Explanation:

This screen shows the **Profit & Loss Account**, summarizing the company's trading performance and operational expenses for the period.

- **Trading Account Section:**
  - **Sales Accounts (Credit: ₹3,00,000.00):** Revenue earned from goods sold to Infotech Solutions Ltd.
  - **Purchase Accounts (Debit: ₹3,00,000.00):** Total cost of goods purchased from Delta Systems Pvt Ltd and Global Tech Traders.
  - **Gross Profit: ₹0.00** — Total revenue equals total purchase cost, resulting in zero trading margin. No closing stock has been recorded in Tally, so the whole purchase cost is treated as the cost of goods sold.
- **Income Statement Section:**
  - **Indirect Expenses (Debit: ₹50,000.00):** Administrative expense incurred towards office rent.
  - **Net Loss: ₹50,000.00** — Because there was no gross profit margin to absorb operating overheads, the office rent expense directly translates into a net loss of ₹50,000.00 for the period.

Balance Sheet — Nexus Tech Distribution Pvt. Ltd. (as at 1-Apr-26):



Explanation:

This screen presents the **Balance Sheet**, reflecting the company's financial position, capital structure, outstanding obligations, and asset holdings as of April 1, 2026.

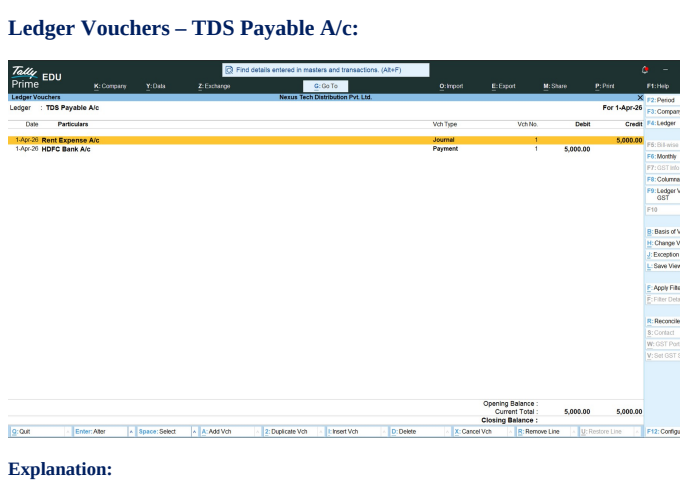
1. Liabilities Side (Total: ₹13,54,000.00)

- **Capital Account (₹10,00,000.00):** Equity contributed into the business by the shareholders.
- **Current Liabilities (₹3,54,000.00):** Short-term financial obligations:
  - Trade payables due to suppliers (Delta Systems Pvt Ltd and Global Tech Traders).
  - Net GST balance is nil: CGST and SGST payable of ₹18,000 each is offset by input IGST of ₹36,000. TDS payable is nil as it has been deposited.

2. Assets Side (Total: ₹13,54,000.00)

- **Current Assets (₹13,04,000.00):** Total liquid resources:
  - HDFC Bank A/c balance of ₹9,50,000 after the rent payment.
  - Trade receivables due from customer Infotech Solutions Ltd.
  - Input GST (ITC) is not shown separately here; it is netted against GST payable under Current Liabilities.
- **Profit & Loss A/c (Net Loss: ₹50,000.00):** Accumulated operating loss for the current period (resulting from office rent expense) reflected on the assets side to maintain double-entry balance.

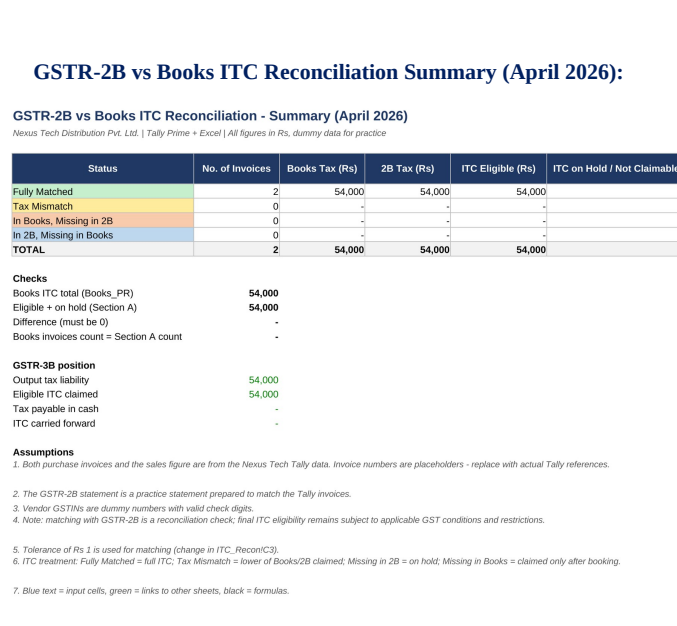
Ledger Vouchers – TDS Payable A/c:



Explanation:

- **Account Title & Scope:** Shows the **TDS Payable A/c** ledger for **Nexus Tech Distribution Pvt. Ltd.** for the period of **1-Apr-26**.
- **Credit Entry (Deduction):** On **1-Apr-26**, a **Journal Voucher (Vch No. 1)** records a credit of **₹5,000.00** against **Rent Expense A/c**, representing statutory TDS deduction under Section 393 of the Income-tax Act, 2025 (erstwhile Section 194-I).
- **Debit Entry (Payment):** On **1-Apr-26**, a **Payment Voucher (Vch No. 1)** records a debit of **₹5,000.00** via **HDFC Bank A/c** to deposit the tax amount with the government.
- **Closing Status:** The **Current Total** equals **₹5,000.00** on both Debit and Credit sides, leaving a **Closing Balance of ₹0.00 (NIL)**, confirming complete settlement of the liability.
- **Note:** the TDS of ₹5,000 on the rent of ₹50,000 is a practice entry. Under Section 393 (erstwhile 194-I), TDS on rent applies only when rent exceeds ₹50,000 per month, so in a real case no TDS would be deducted on exactly ₹50,000.

GSTR-2B vs Books ITC Reconciliation Summary (April 2026):



GSTR-2B vs Books ITC Reconciliation - Summary (April 2026)

Nexus Tech Distribution Pvt Ltd | Tally Prime + Excel | All figures in Rs, dummy data for practice

Status	No. of Invoices	Books Tax (Rs)	2B Tax (Rs)	ITC Eligible (Rs)	ITC on Hold / Not Claimable (Rs)
Fully Matched	2	54,000	54,000	54,000	-
Tax Mismatch	0	-	-	-	-
In Books, Missing in 2B	0	-	-	-	-
In 2B, Missing in Books	0	-	-	-	-
TOTAL	2	54,000	54,000	54,000	-

Checks

Books ITC total (Books_PR)	54,000
Eligible + on hold (Section A)	54,000
Difference (must be 0)	-

GSTR-3B position

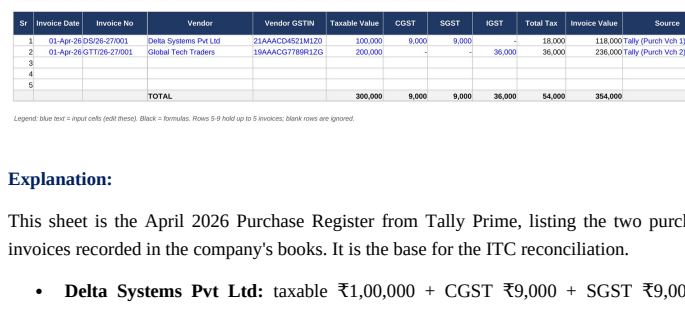
Output tax liability	54,000
Eligible ITC claimed	54,000
Tax payable in cash	-
ITC carried forward	-

Explanation:

This is the management summary of the reconciliation. It groups every invoice by status and shows how much input tax credit (ITC) can be claimed.

- **Fully Matched:** 2 invoices with tax of ₹54,000 in both the books and GSTR-2B, so the ITC claimable as per this reconciliation is **₹54,000**.
- **Other statuses:** Tax Mismatch, In Books but Missing in 2B, and In 2B but Missing in Books are all nil.
- **Checks:** Books ITC of ₹54,000 equals eligible ITC plus ITC on hold, and the difference is nil.
- **GSTR-3B position:** output tax ₹54,000, ITC claimed ₹54,000, tax payable in cash nil and ITC carried forward nil.
- **Note:** matching with GSTR-2B is a reconciliation check. Final ITC eligibility remains subject to the applicable GST conditions and restrictions.

Books Purchase Register (April 2026):

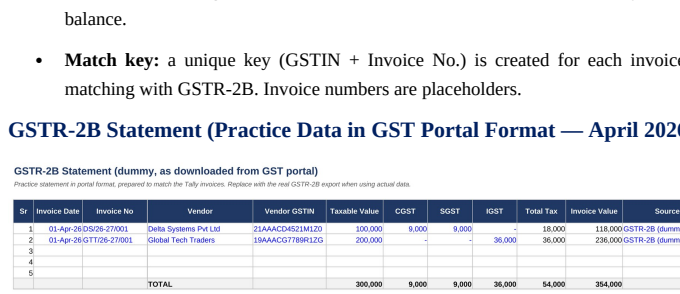


Explanation:

This sheet is the April 2026 Purchase Register from Tally Prime, listing the two purchase invoices recorded in the company's books. It is the base for the ITC reconciliation.

- **Delta Systems Pvt Ltd:** taxable ₹1,00,000 + CGST ₹9,000 + SGST ₹9,000 = ₹1,18,000.
- **Global Tech Traders:** taxable ₹2,00,000 + IGST ₹36,000 = ₹2,36,000 (inter-state purchase).
- **Totals:** taxable value ₹3,00,000, tax (ITC in books) ₹54,000 and invoice value ₹3,54,000. These agree with Purchases in the Trial Balance and the Sundry Creditors balance.
- **Match key:** a unique key (GSTIN + Invoice No.) is created for each invoice for matching with GSTR-2B. Invoice numbers are placeholders.

GSTR-2B Statement (Practice Data in GST Portal Format — April 2026):

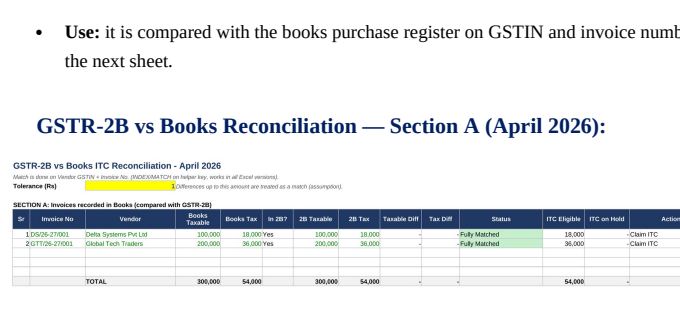


Explanation:

This sheet is a practice GSTR-2B statement in the format downloaded from the GST portal, prepared to match the Tally invoices. On the real portal, GSTR-2B is the official record used to verify the ITC a business may claim.

- **Contents:** the same 2 supplier invoices, with taxable value ₹3,00,000, tax ₹54,000 and invoice value ₹3,54,000.
- **Use:** it is compared with the books purchase register on GSTIN and invoice number in the next sheet.

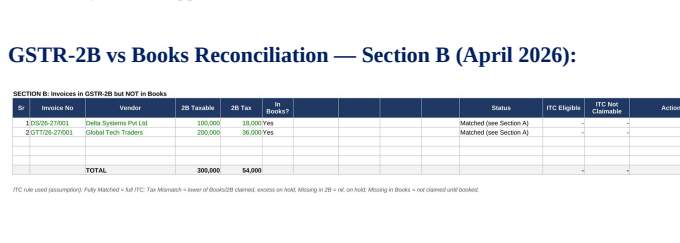
GSTR-2B vs Books Reconciliation — Section A (April 2026):



This section compares each invoice in the books purchase register with GSTR-2B and assigns a status.

- **Both invoices are found in GSTR-2B** with the same taxable value and tax, so taxable and tax differences are nil.
- **Status:** Fully Matched for both, with ITC eligible of **₹54,000** (CGST ₹9,000, SGST ₹9,000, IGST ₹36,000) and ITC on hold nil.
- **Rule used:** matched = full ITC, tax mismatch = lower of books and 2B, missing in 2B = on hold.
- **Note:** matching with GSTR-2B is a reconciliation check. Final ITC eligibility remains subject to the applicable GST conditions and restrictions.

GSTR-2B vs Books Reconciliation — Section B (April 2026):

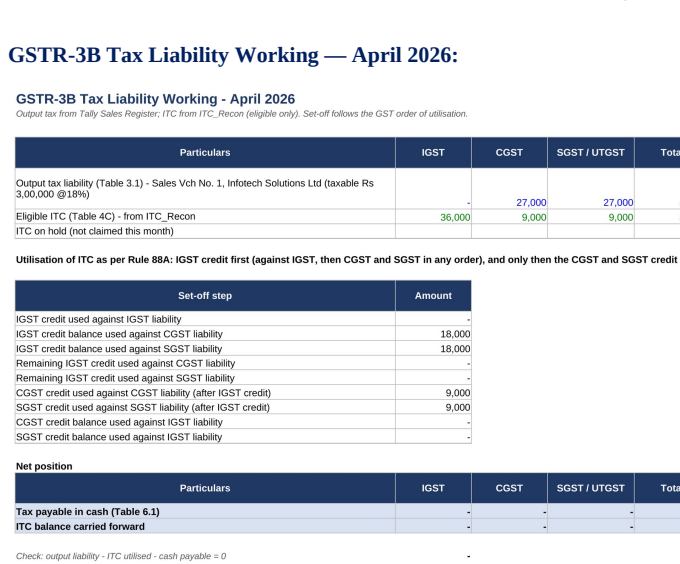


Explanation:

This section checks the invoices in GSTR-2B against the books to find any invoice that the supplier has reported but that is not yet recorded in the accounts.

- **Both GSTR-2B invoices** are already recorded in the books, so no invoice is missing in books.
- **ITC not claimable:** nil. No extra vouchers need to be booked before filing.

GSTR-3B Tax Liability Working — April 2026:



Explanation:

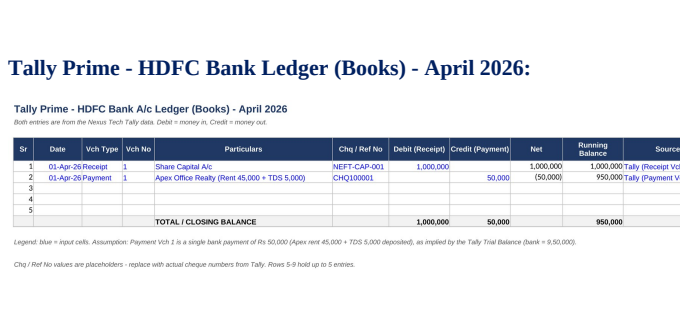
This sheet calculates the net tax payable and the set-off of input tax credit for filing Form GSTR-3B.

- **Output tax liability:** ₹54,000 on taxable sales of ₹3,00,000 (CGST ₹27,000 | SGST ₹27,000).
- **Eligible ITC:** ₹54,000 (IGST ₹36,000 | CGST ₹9,000 | SGST ₹9,000).
- **Set-off:** as per Rule 88A of the CGST Rules. The IGST credit of ₹36,000 is used first and exhausted completely. As there is no IGST liability, it is set off against CGST ₹18,000 and SGST ₹18,000 (any order and proportion is allowed). Only then is the CGST credit of ₹9,000 set off against the remaining CGST liability of ₹9,000, and the SGST credit of ₹9,000 against the remaining SGST liability of ₹9,000.
- **Tax payable in cash:** nil. **ITC carried forward:** nil.

Project Deliverable:

https://github.com/afifahkhatoon61-beep/my-certificates-projects/blob/main/GSTR2B_vs_Books_ITC_Reconciliation_Tally_Synced.xlsx

Tally Prime - HDFC Bank Ledger (Books) - April 2026:

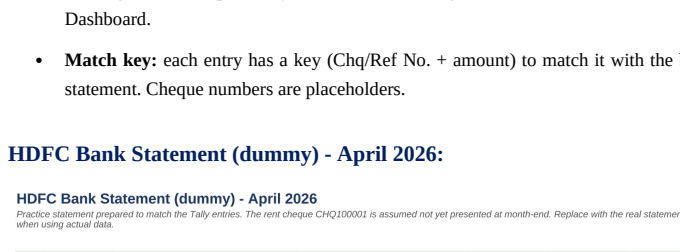


Explanation:

This sheet shows the HDFC Bank ledger as recorded in Tally Prime, with a running balance. It is the books side of the bank reconciliation.

- **2 entries** from Tally: a capital receipt of ₹10,00,000 and a payment of ₹50,000 (rent ₹45,000 + TDS ₹5,000).
- **Closing balance as per Tally: ₹9,50,000**, which agrees with the Trial Balance and the Dashboard.
- **Match key:** each entry has a key (Chq/Ref No. + amount) to match it with the bank statement. Cheque numbers are placeholders.

HDFC Bank Statement (dummy) - April 2026:



HDFC Bank Statement (dummy) - April 2026

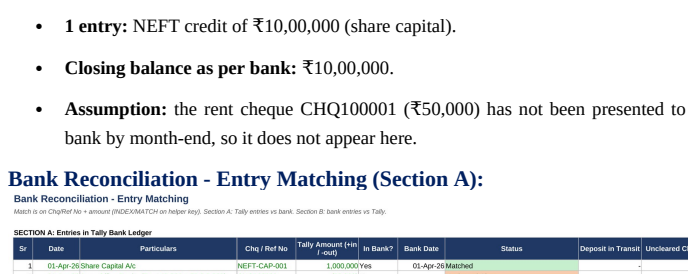
Sr	Date	Description	Chq / Ref No	Withdrawal	Deposit	Net	Balance
1	01-Apr-26	NEFT credit - share capital	NEFT-CAP-001		1,000,000	1,000,000	1,000,000
2							
3							
4							
5							
		TOTAL / CLOSING BALANCE		-	1,000,000		1,000,000

Explanation:

This sheet is a practice bank statement for April 2026, prepared to match the Tally entries. It is compared with the Tally bank ledger.

- **1 entry:** NEFT credit of ₹10,00,000 (share capital).
- **Closing balance as per bank:** ₹10,00,000.
- **Assumption:** the rent cheque CHQ100001 (₹50,000) has not been presented to the bank by month-end, so it does not appear here.

Bank Reconciliation - Entry Matching (Section A):

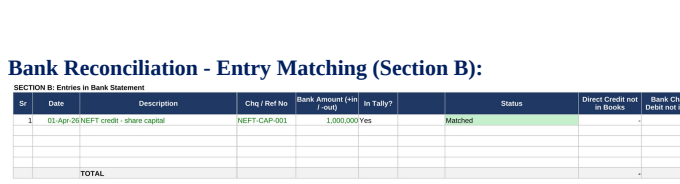


Explanation:

This section matches each Tally bank entry with the bank statement using the Cheque/Ref No. and amount.

- **Share capital receipt** of ₹10,00,000: matched with the bank statement.
- **Rent payment** of ₹50,000 (CHQ100001): not in the bank statement, so it is an **uncleared cheque of ₹50,000**.
- **Deposits in transit:** nil.

Bank Reconciliation - Entry Matching (Section B):

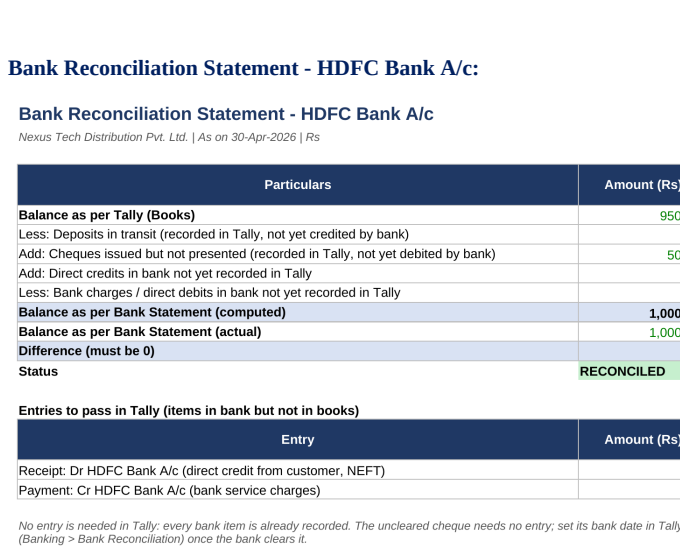


Explanation:

This section matches each bank statement entry with the Tally ledger to find items the bank has recorded but the books have not.

- **The only bank entry** (NEFT credit ₹10,00,000) is matched with Tally.
- **Direct credits and bank charges not in books:** nil.

Bank Reconciliation Statement - HDFC Bank A/c:



Bank Reconciliation Statement - HDFC Bank A/c

Nexus Tech Distribution Pvt Ltd | As on 30-Apr-2026 | Rs

Particulars	Amount (Rs)
Balance as per Tally (Books)	950,000
Less: Deposits in transit (recorded in Tally, not yet credited by bank)	-
Add: Cheques issued but not presented (recorded in Tally, not yet debited by bank)	50,000
Add: Direct credits in bank not yet recorded in Tally	-
Less: Bank charges / direct debits in bank not yet recorded in Tally	-
Balance as per Bank Statement (computed)	1,000,000
Balance as per Bank Statement (actual)	1,000,000
Difference (must be 0)	-
Status	RECONCILED

Entries to pass in Tally (items in bank but not in books)

Entry	Amount (Rs)
Receipt: Dr HDFC Bank A/c (direct credit from customer, NEFT)	-
Payment: Cr HDFC Bank A/c (bank service charges)	-

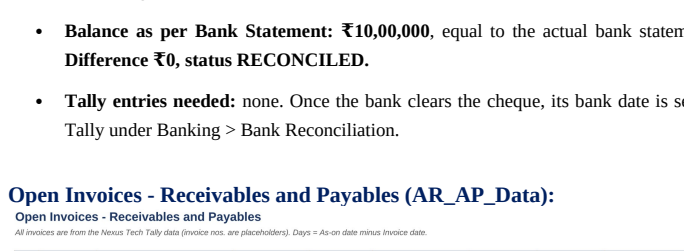
No entry is needed in Tally: every bank item is already recorded. The uncleared cheque needs no entry; set its bank date in Tally (Banking > Bank Reconciliation) once the bank clears it.

Explanation:

This is the final Bank Reconciliation Statement. It starts from the Tally balance and adjusts the timing difference to reach the bank balance.

- **Balance as per Tally:** ₹9,50,000.
- **Add:** cheque issued but not yet presented ₹50,000. Deposits in transit, direct credits and bank charges are nil.
- **Balance as per Bank Statement: ₹10,00,000**, equal to the actual bank statement. **Difference ₹0, status RECONCILED.**
- **Tally entries needed:** none. Once the bank clears the cheque, its bank date is set in Tally under Banking > Bank Reconciliation.

Open Invoices - Receivables and Payables (AR_AP_Data):

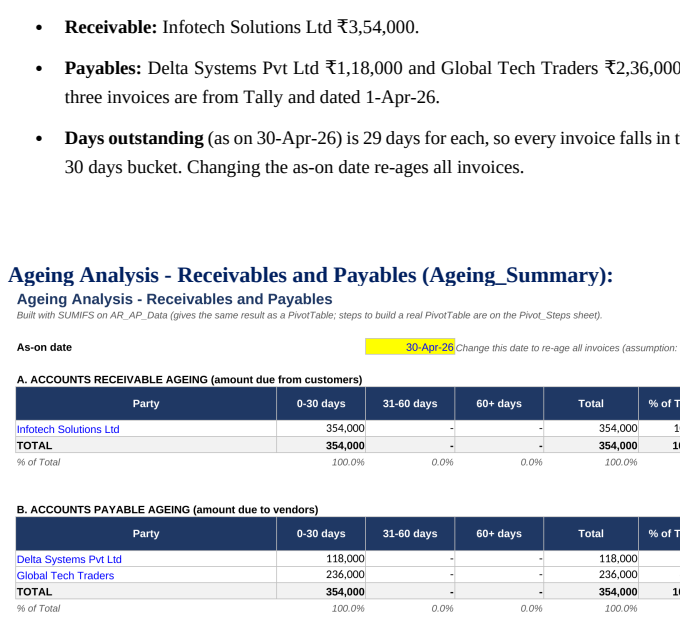


Explanation:

This tab is the list of unpaid customer and vendor invoices. It feeds the ageing summary.

- **Receivable:** Infotech Solutions Ltd ₹3,54,000.
- **Payables:** Delta Systems Pvt Ltd ₹1,18,000 and Global Tech Traders ₹2,36,000. All three invoices are from Tally and dated 1-Apr-26.
- **Days outstanding** (as on 30-Apr-26) is 29 days for each, so every invoice falls in the 0-30 days bucket. Changing the as-on date re-ages all invoices.

Ageing Analysis - Receivables and Payables (Ageing_Summary):



Ageing Analysis - Receivables and Payables

As-on date: 30-Apr-26

A. ACCOUNTS RECEIVABLE AGEING (amount due from customers)

Party	0-30 days	31-60 days	60+ days	Total	% of Total
Infotech Solutions Ltd	354,000	-	-	354,000	100.0%
TOTAL	354,000	-	-	354,000	100.0%
% of Total	100.0%	0.0%	0.0%	100.0%	

B. ACCOUNTS PAYABLE AGEING (amount due to vendors)

Party	0-30 days	31-60 days	60+ days	Total	% of Total
Delta Systems Pvt Ltd	118,000	-	-	118,000	33.3%
Global Tech Traders	236,000	-	-	236,000	66.7%
TOTAL	354,000	-	-	354,000	100.0%
% of Total	100.0%	0.0%	0.0%	100.0%	

C. NET RECEIVABLES / PAYABLES POSITION

Particulars	0-30 days	31-60 days	60+ days	Total
Receivables	354,000	-	-	354,000
Payables	354,000	-	-	354,000
Net (Receivables - Payables)	-	-	-	-

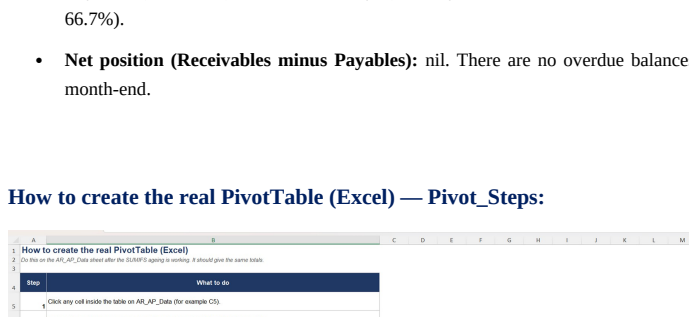
Checks

Explanation:

This sheet groups outstanding invoices by party and age using SUMIFS formulas, which gives the same result as a PivotTable.

- **Receivables (₹3,54,000):** 100% in 0-30 days. Nothing is in 31-60 or 60+ days.
- **Payables (₹3,54,000):** 100% in 0-30 days (Delta Systems 33.3%, Global Tech Traders 66.7%).
- **Net position (Receivables minus Payables):** nil. There are no overdue balances at month-end.

How to create the real PivotTable (Excel) — Pivot_Steps:



Explanation:

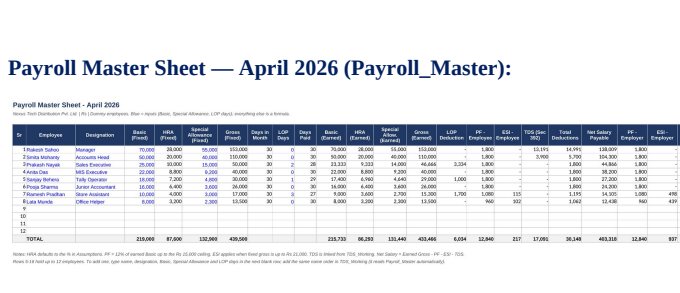
This sheet provides a **step-by-step instruction guide for generating native Excel PivotTables** to dynamically summarize receivables and payables aging.

- **Implementation Instructions:** Outlines 7 practical steps to insert a PivotTable from the AR_AP_Data tab, configure field locations (Type to Filters, Party to Rows, Bucket to Columns, and Outstanding Amount to Values), and filter by Receivable or Payable to verify totals against the Ageing_Summary tab.
- **Best Practices:** Includes instructions for adding a Clustered Column PivotChart, filtering out blank entries, and refreshing the PivotTable after underlying data updates.

Project Deliverable:

https://github.com/afifahkhatoon61-beep/my-certificates-projects/blob/main/BRS_and_Ageing_Analysis_Tally_Synced.xlsx

Payroll Master Sheet — April 2026 (Payroll_Master):

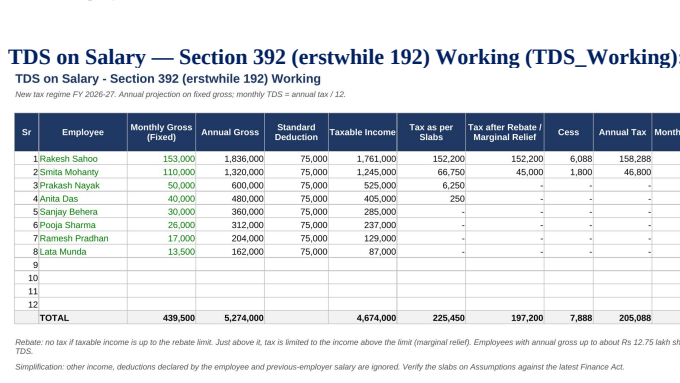


Explanation:

This sheet calculates the **monthly salary of 8 employees** (practice data) for April 2026, including loss of pay (LOP) and statutory deductions.

- **Earnings:** Fixed gross of ₹4,39,500 is reduced by an LOP deduction of **₹6,034** (6 LOP days across 3 employees), giving an earned gross of **₹4,33,466.**
- **PF:** ₹12,840 employee + ₹12,840 employer, at 12% of Basic up to the ₹15,000 wage ceiling. The 12% employer rate is an assumption for this practice model.
- **ESI:** ₹217 employee + ₹937 employer, applied only to the 2 employees whose gross is up to ₹21,000.
- **TDS on salary:** ₹17,091 (Section 392, erstwhile 192), linked from the TDS_Working sheet.
- **Net salary payable: ₹4,03,318.** Total cost to company is ₹4,47,243 including employer PF and ESI.

TDS on Salary — Section 392 (erstwhile 192) Working (TDS_Working):

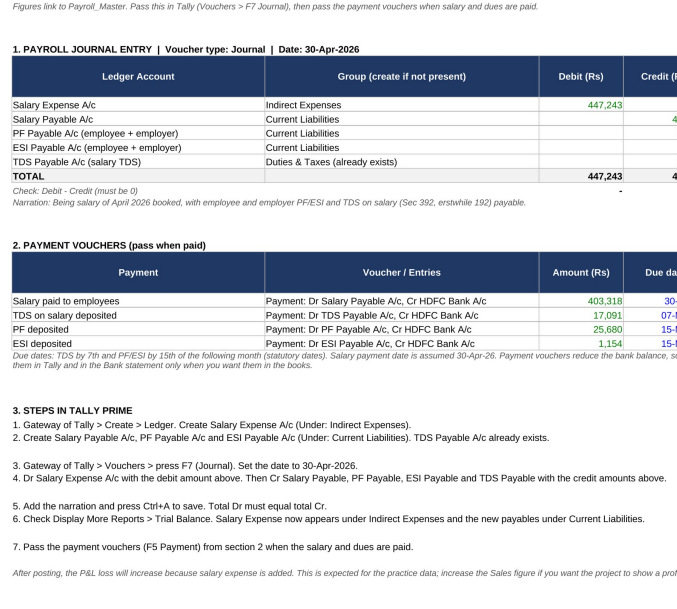


Explanation:

This sheet estimates **monthly TDS for each employee** using the new tax regime for FY 2026-27. Annual tax is worked out on gross salary less the ₹75,000 standard deduction, and then divided by 12.

- **Manager:** taxable income ₹17,61,000, tax with cess ₹1,58,288, monthly TDS **₹13,191.**
- **Accounts Head:** taxable income ₹12,45,000. Marginal relief limits the tax to ₹45,000, so tax with cess is ₹46,800 and monthly TDS is **₹3,900.**
- **Other 6 employees:** nil TDS, as their taxable income is within the ₹12,00,000 rebate limit.
- **Total monthly TDS: ₹17,091**, which flows into the Payroll Master sheet.

Payroll Journal Entry for Tally Prime (Tally_Journal):

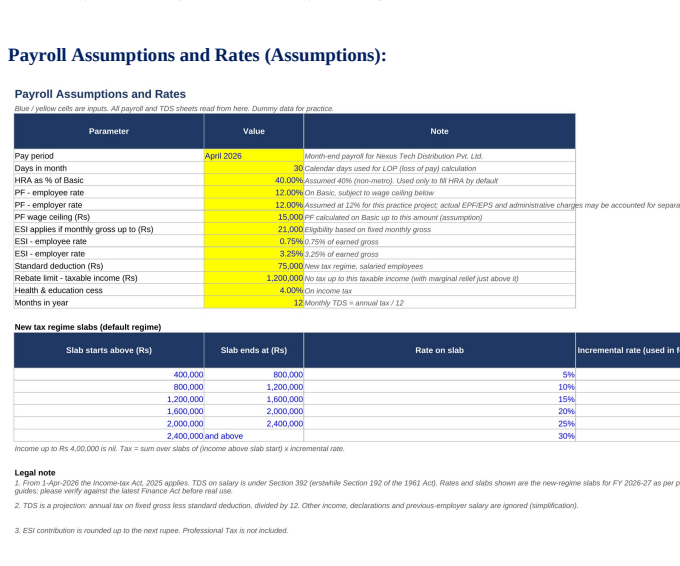


Explanation:

This sheet gives the **payroll journal entry prepared for booking April 2026 salary** in Tally Prime, along with the later payment vouchers and the steps to pass them.

- **Journal entry (30-Apr-2026):** Dr Salary Expense A/c **₹4,47,243.**
- **Credits:** Salary Payable **₹4,03,318**, PF Payable ₹25,680, ESI Payable ₹1,154 and TDS Payable ₹17,091. Total Debit equals total Credit.
- **Payment vouchers:** salary payment, TDS (due by the 7th), and PF and ESI (due by the 15th of the next month) are cleared through separate payment vouchers.
- **Tally steps:** the sheet lists 7 steps, including creating the Salary Expense, Salary Payable, PF Payable and ESI Payable ledgers.

Payroll Assumptions and Rates (Assumptions):



Explanation:

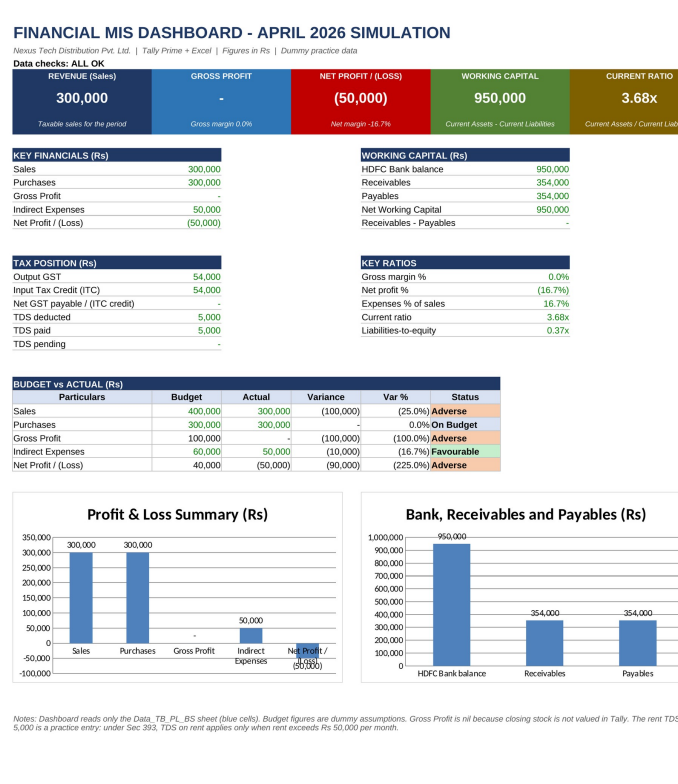
This sheet holds **all rates and limits used by the payroll and TDS sheets**, so a change here updates every calculation.

- **PF and ESI:** PF at 12% (employee and employer) on Basic up to ₹15,000; ESI at 0.75% employee and 3.25% employer for gross up to ₹21,000.
- **Tax inputs:** ₹75,000 standard deduction, ₹12,00,000 rebate limit and 4% cess.
- **New tax regime slabs:** 5% to 30% slabs starting above ₹4,00,000, used by the TDS formula.
- **Legal note:** from 1-Apr-2026 salary TDS falls under Section 392 of the Income-tax Act, 2025 (erstwhile Section 192).

Project deliverable:

https://github.com/afifahkhatoon61-beep/my-certificates-projects/blob/main/Payroll_Master_Sheet_April2026.xlsx

FINANCIAL MIS DASHBOARD — APRIL 2026 SIMULATION:



FINANCIAL MIS DASHBOARD - APRIL 2026 SIMULATION

REVENUE (Sales)	GROSS PROFIT	NET PROFIT / (LOSS)	WORKING CAPITAL	CURRENT RATIO
300,000	-	(50,000)	950,000	3.68x

KEY FINANCIALS (Rs)

Sales	300,000
Purchases	300,000
Gross Profit	-
Indirect Expenses	50,000
Net Profit / (Loss)	(50,000)

WORKING CAPITAL (Rs)

HDFC Bank balance	950,000
Receivables	354,000
Payables	354,000
Net Working Capital	950,000
Receivables - Payables	-

TAX POSITION (Rs)

Output GST	54,000
Input Tax Credit (ITC)	54,000
Net GST payable / (ITC credit)	-
TDS deducted	5,000
TDS paid	5,000
TDS pending	-

KEY RATIOS

Gross margin %	0.0%
Net profit %	(16.7%)
Expenses % of sales	16.7%
Current ratio	3.68x
Liabilities to equity	0.37x

BUDGET vs ACTUAL (Rs)

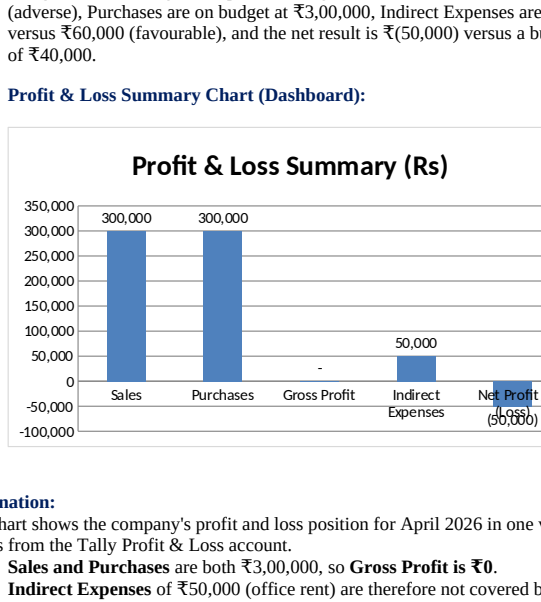
Particulars	Budget	Actual	Variance	Var %	Status
Sales	400,000	300,000	(100,000)	(25.0%)	Adverse
Purchases	300,000	300,000	-	0.0%	On Budget
Gross Profit	100,000	-	(100,000)	(100.0%)	Adverse
Indirect Expenses	60,000	50,000	10,000	16.7%	Favourable
Net Profit / (Loss)	40,000	(50,000)	(90,000)	(225.0%)	Adverse

Explanation:

This one-page dashboard summarises the Tally figures recorded for the April 2026 simulation (all vouchers are dated 1-Apr-26). It updates automatically from the **Data_TB_PL_BS** sheet.

- **KPI cards:** Revenue ₹3,00,000, Gross Profit ₹0 (0% margin), Net Loss ₹50,000 (-16.7% of sales), Working Capital ₹9,50,000 and Current Ratio 3.68x.
- **Working capital and tax:** Bank ₹9,50,000, Receivables ₹3,54,000 and Payables ₹3,54,000. Output GST ₹54,000 equals input tax credit ₹54,000, so net GST payable is nil. A practice TDS entry of ₹5,000 on rent is deducted and fully paid.
- **Key ratios:** Expenses are 16.7% of sales and liabilities-to-equity is 0.37x (₹3.54 lakh ÷ ₹9.50 lakh).
- **Budget vs Actual:** against a practice budget, Sales are ₹3,00,000 versus ₹4,00,000 (adverse). Purchases are on budget at ₹3,00,000, Indirect Expenses are ₹50,000 versus ₹60,000 (favourable), and the net result is ₹(50,000) versus a budgeted profit of ₹40,000.

Profit & Loss Summary Chart (Dashboard):

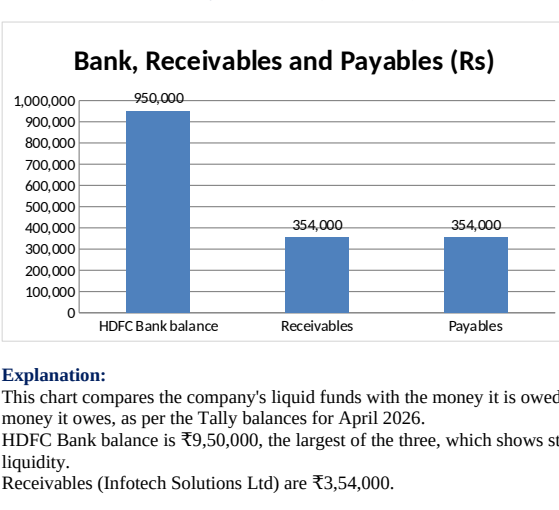


Explanation:

This chart shows the company's profit and loss position for April 2026 in one view, using the figures from the Tally Profit & Loss account.

- **Sales and Purchases** are both ₹3,00,000, so **Gross Profit is ₹0**.
- **Indirect Expenses** of ₹50,000 (office rent) are therefore not covered by any margin.
- **Net Loss of ₹50,000** is shown as the bar below zero.

Bank, Receivables and Payables Chart (Dashboard):

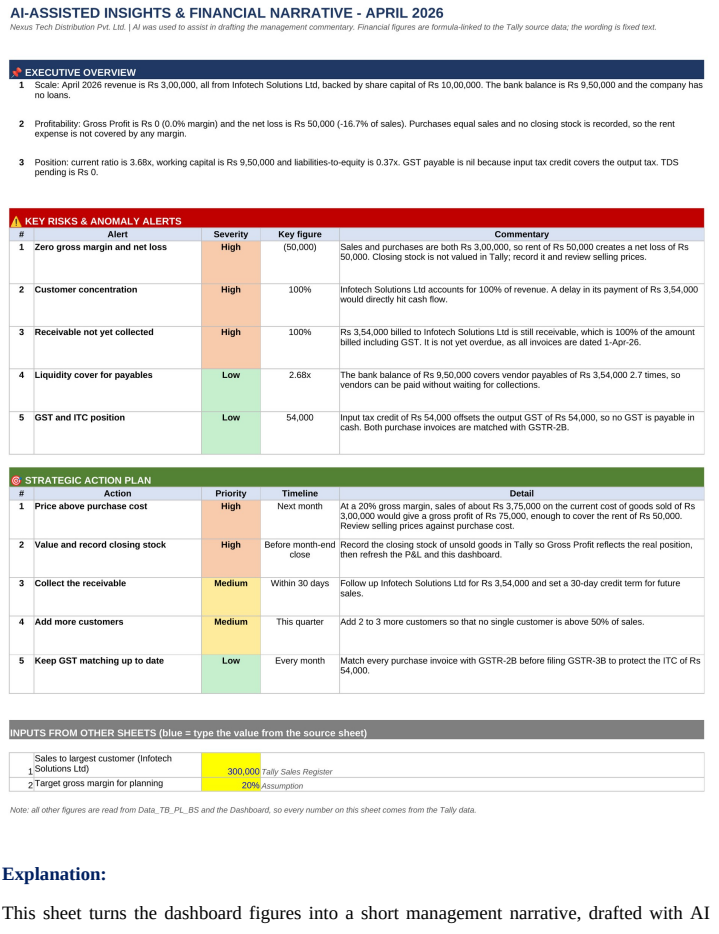


Explanation:

This chart compares the company's liquid funds with the money it is owed and the money it owes, as per the Tally balances for April 2026.

- HDFC Bank balance is ₹9,50,000, the largest of the three, which shows strong liquidity.
- Receivables (Infotech Solutions Ltd) are ₹3,54,000.
- Payables (Delta Systems and Global Tech Traders) are also ₹3,54,000.
- Although receivables and payables are equal at ₹3.54 lakh, the company also has ₹9.50 lakh in the bank, providing sufficient cash cover for the outstanding payables.

AI-ASSISTED INSIGHTS & FINANCIAL NARRATIVE - APRIL 2026:



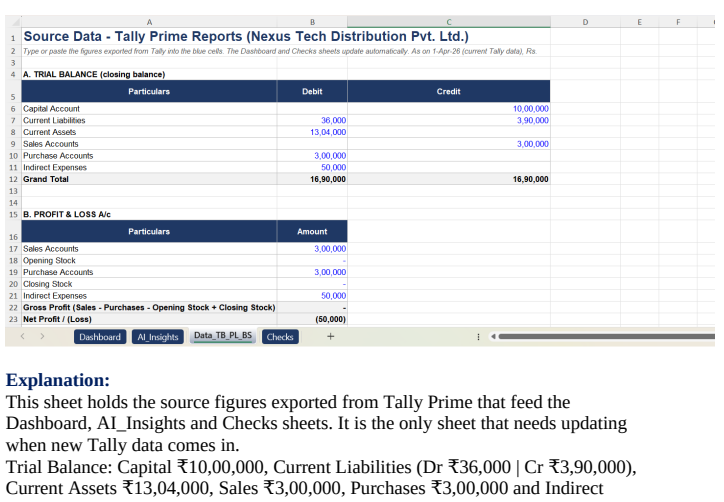
AI-ASSISTED INSIGHTS & FINANCIAL NARRATIVE - APRIL 2026

Explanation:

This sheet turns the dashboard figures into a short management narrative, drafted with AI assistance. The numbers are formula-linked to the data sheet and the wording is fixed text.

- **Executive Overview:** three points on scale (revenue ₹3,00,000, bank ₹9,50,000), profitability (zero gross margin, net loss ₹50,000) and position (current ratio 3.68x, no GST payable).
- **Key Risks & Anomaly Alerts:** five alerts. High: zero gross margin and net loss, 100% of sales from one customer, and the ₹3,54,000 receivable not yet collected. Low: bank cover of 2.68x for payables, and GST and ITC fully matched.
- **Strategic Action Plan:** five actions with priority and timeline, such as pricing above purchase cost, recording closing stock, collecting the receivable and adding more customers.
- **Note:** AI was used to assist in drafting the management commentary. The financial figures are formula-linked to the Tally source data.

Source Data — Tally Prime Reports (Data_TB_PL_BS):



Source Data - Tally Prime Reports (Nexus Tech Distribution Pvt. Ltd.)

A. TRIAL BALANCE (closing balance)

Particulars	Debit	Credit
Capital Account		10,00,000
Current Liabilities	36,000	3,90,000
Current Assets	13,04,000	
Sales Accounts		3,00,000
Purchase Accounts	3,00,000	
Indirect Expenses	50,000	
Grand Total	16,90,000	16,90,000

B. PROFIT & LOSS A/c

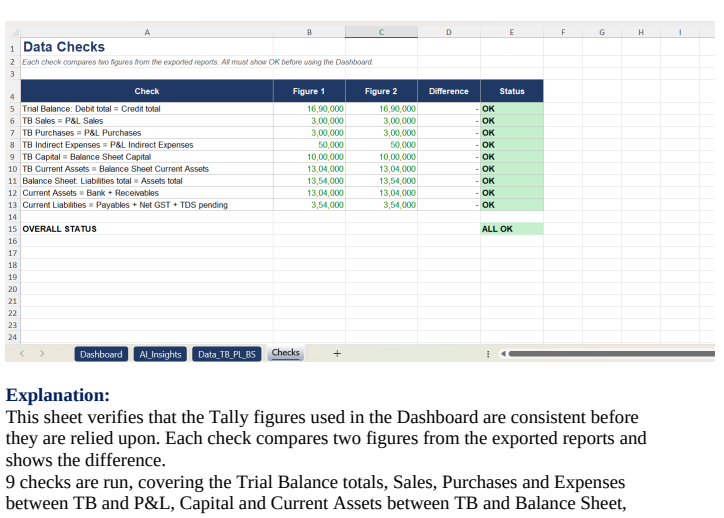
Particulars	Amount
Sales Accounts	3,00,000
Opening Stock	-
Purchase Accounts	3,00,000
Closing Stock	-
Indirect Expenses	50,000
Gross Profit (Sales - Purchases - Opening Stock + Closing Stock)	-
Net Profit / (Loss)	(50,000)

Explanation:

This sheet holds the source figures exported from Tally Prime that feed the Dashboard, AI_Insights and Checks sheets. It is the only sheet that needs updating when new Tally data comes in.

- Trial Balance: Capital ₹10,00,000, Current Liabilities (Dr ₹36,000 | Cr ₹3,90,000), Current Assets ₹13,04,000, Sales ₹3,00,000, Purchases ₹3,00,000 and Indirect Expenses ₹50,000. Both sides total ₹16,90,000.
- Profit & Loss: Sales and Purchases are ₹3,00,000 each, with opening and closing stock nil, so Gross Profit is ₹0. After Indirect Expenses of ₹50,000, the Net Loss is ₹50,000.
- Blue cells are inputs typed from Tally, and the totals and profit figures are calculated by formula.
- **Balance Sheet:** Liabilities of ₹13,54,000 (Capital ₹10,00,000 + Current Liabilities ₹3,54,000) equal Assets of ₹13,54,000 (Current Assets ₹13,04,000 + P&L loss ₹50,000).
- **Supporting details:** Bank ₹9,50,000, Receivable ₹3,54,000, Payables ₹1,18,000 (Delta Systems) and ₹2,36,000 (Global Tech Traders), GST output ₹54,000 and input ₹54,000, and TDS ₹5,000 deducted and paid, taken from the ledgers and Day Book.
- **Budget:** practice assumptions (Sales ₹4,00,000, Purchases ₹3,00,000, Indirect Expenses ₹60,000) used for Budget vs Actual.

Data Checks (Checks):



Data Checks

Check	Figure 1	Figure 2	Difference	Status
Trial Balance: Debit Total = Credit Total	16,90,000	16,90,000	-	OK
TB Sales = P&L Sales	3,00,000	3,00,000	-	OK
TB Purchases = P&L Purchases	3,00,000	3,00,000	-	OK
TB Indirect Expenses = P&L Indirect Expenses	50,000	50,000	-	OK
TB Capital = Balance Sheet Capital	10,00,000	10,00,000	-	OK
TB Current Assets = Balance Sheet Current Assets	13,04,000	13,04,000	-	OK
Balance Sheet: Total Liabilities = Total Assets	13,54,000	13,54,000	-	OK
Current Assets = Bank + Receivables	13,04,000	13,04,000	-	OK
Current Liabilities = Payables + Net GST + TDS pending	3,54,000	3,54,000	-	OK
OVERALL STATUS				ALL OK

Explanation:

This sheet verifies that the Tally figures used in the Dashboard are consistent before they are relied upon. Each check compares two figures from the exported reports and shows the difference.

- 9 checks are run, covering the Trial Balance totals, Sales, Purchases and Expenses between TB and P&L, Capital and Current Assets between TB and Balance Sheet, and Balance Sheet totals.
- Two further checks tie Current Assets (₹13,04,000) to Bank plus Receivables and Current Liabilities (₹3,54,000) to Payables, net GST and pending TDS.
- Every difference is nil, so all checks show OK and the Overall Status is ALL OK.
- If any figure is entered wrongly in the Data sheet, the status changes to CHECK.

Mis Financial Dashboard File link:

https://github.com/afifahkhatoon61-beep/my-certificates-projects/blob/main/MIS_Financial_Dashboard_Tally_Synced.xlsx

KEY OUTPUTS

The project produced the following results. The Tally figures are real entries in the Tally company. The GSTR-2B statement and the bank statement are practice documents prepared to match the Tally entries, and the payroll sheet is Excel-only and is not posted in Tally.

- **Tally Prime books:** 6 vouchers on 1-Apr-26 (1 sales, 2 purchases, 1 receipt, 1 payment, 1 journal). Trial Balance totals ₹16,90,000; Sales ₹3,00,000; Gross Profit ₹0; Net Loss ₹50,000; Balance Sheet total ₹13,54,000.
- **GST:** output tax ₹54,000 and eligible ITC ₹54,000 (both invoices matched with GSTR-2B), so cash tax payable is nil and no ITC is carried forward.
- **Bank reconciliation:** Tally balance ₹9,50,000 reconciled to the bank balance ₹10,00,000 with zero difference, the only reconciling item being an uncleared cheque of ₹50,000.
- **Ageing:** receivables ₹3,54,000 and payables ₹3,54,000, all within 0-30 days, with nothing overdue.
- **Payroll:** 8 employees, gross ₹4,33,466, net salary ₹4,03,318, PF ₹25,680, ESI ₹1,154, TDS on salary ₹17,091, and a payroll journal entry of ₹4,47,243 prepared for Tally.
- **MIS dashboard and AI-assisted insights:** KPI cards, ratios, budget vs actual, five risk alerts and an action plan, with 9 data checks all showing OK.

KEY LEARNINGS

- Setting up a company, groups and ledgers in Tally Prime and recording sales, purchase, receipt, payment and journal vouchers with GST and TDS.
- How CGST, SGST and IGST work, and how input tax credit is set off in the GSTR-3B working.
- Reconciling GSTR-2B with the books, classifying differences (matched, tax mismatch, missing in 2B, missing in books) and deciding which ITC to claim or hold.
- Preparing a bank reconciliation statement and separating timing differences from entries that must be recorded in the books.
- Using ageing analysis to monitor overdue receivables and payables.
- Calculating payroll with LOP, PF, ESI and TDS on salary under the new tax regime (Section 392, erstwhile 192).
- Reading the Trial Balance, Profit & Loss and Balance Sheet together, and understanding why gross profit is nil when no closing stock is recorded.
- Building a linked Excel dashboard with data checks, and turning figures into management commentary and risk alerts.

CONCLUSION

This project simulated an accounting and compliance workflow for a trading company, using Tally Prime for bookkeeping and Excel for reconciliation, payroll and reporting. It showed how GST, TDS, bank reconciliation and payroll connect to the final statements and the management dashboard.

Limitations and next steps:

- Gross Profit is nil because purchases equal sales and no closing stock is recorded. Sales and closing stock should be updated in Tally to give a meaningful margin.
- The payroll module (total cost ₹4,47,243) is a separate Excel practice calculation and has not been posted in Tally, so the ₹50,000 Tally net loss does not include payroll cost. It is kept separate on purpose and disclosed here.
- **The rent TDS of ₹5,000 is a practice entry:** under Section 393, TDS on rent applies only when rent exceeds ₹50,000 per month, so a real case with exactly ₹50,000 rent would have no TDS.
- The GSTR-2B statement and the bank statement are practice documents prepared to match the Tally entries, and the payroll sheet (8 practice employees) is Excel-only and not posted in Tally.
- Any remaining uncertain transactions in GSTR-2B would need to be cleared in Tally, and the Tally reports should be re-taken for the full period 1-Apr-26 to 30-Apr-26.